

NORTHBRIDGE DYNAMICS PVT. LTD.

Compensation, Payroll and Benefits Policy

Document detail	Information
Document ID	HR-06
Version	3.2
Effective date	1 January 2026
Policy owner	Compensation and Benefits
Approved by	Chief People Officer
Applies to	All permanent employees (confirmed and on probation) of Northbridge Dynamics Pvt. Ltd. at Gurugram, Pune and Bengaluru, unless a section says otherwise

1. Purpose

This policy explains how salary is structured and paid, the statutory and Company benefits available, and how reimbursements and tax declarations work.

2. Salary Structure

Your appointment letter states your annual Cost to Company (CTC). A typical structure is:

Component	How it is set	Taxable?
Basic salary	40% of fixed CTC	Yes
House Rent Allowance (HRA)	50% of basic for Gurugram, Pune and Bengaluru	Partly exempt if rent is paid and declared
Special allowance	Balance of fixed CTC	Yes
Employer Provident Fund	12% of basic	Part of CTC; not paid in hand
Gratuity accrual	4.81% of basic	Part of CTC; paid at exit if eligible
Variable pay	As per the annual variable plan, linked to Company and individual performance	Yes, paid once a year

The structure is indicative. Your exact components are in your appointment letter and on the portal under "My Salary".

3. Payroll Calendar

Item	Date or rule
Payroll month	1st to last day of the calendar month
Attendance, leave and reimbursement cut-off	22nd of the month. Inputs after this are paid in the next month.
Salary credit	Last working day of the month, into your registered bank account
Payslip	Published on the Northbridge People portal on the salary

Item	Date or rule
	credit day
Tax declaration (planned investments)	April of each financial year
Proof of investments and rent receipts	December to January
Form 16	By 15 June after the financial year ends

4. Deductions

- **Provident Fund (PF):** 12% of basic salary is deducted from the employee, and the Company contributes an equal amount. You will get a Universal Account Number (UAN); new joiners should activate it and link it with the bank account.
- **Professional tax and income tax (TDS)** as per applicable law and your tax declaration.
- **Loss of Pay** for unapproved absence (see HR-02).
- Recoveries of advances, notice shortfall and unreturned assets, if any.

5. Annual Increment and Variable Pay

Increments are linked to the performance cycle in HR-08. Variable pay is paid once a year in June, after the annual review, as per the plan communicated to you. Employees who leave before the payout date are not eligible for variable pay unless the plan says otherwise.

6. Statutory Benefits

- **Provident Fund:** see Section 4. The balance can be withdrawn on exit through the EPFO portal.
- **Gratuity:** payable after **5 years** of continuous service, on resignation, retirement, death or disablement, as per the Payment of Gratuity Act. Formula: last drawn basic x 15 / 26 x completed years of service. It is paid within 30 days of becoming due.
- **Maternity benefit:** as per HR-02.

7. Company Benefits

7.1 Group health insurance

- Sum insured of **Rs. 5,00,000** per family per year for the employee, spouse and up to 2 children. It starts on the date of joining.
- Parents or parents-in-law can be added at group rates, paid by the employee through payroll.
- Add new dependants (marriage, birth) within 30 days of the event; otherwise the next enrolment window applies.
- Cashless treatment is available at network hospitals with the e-card from the portal. For help with claims, write to benefits@northbridge.example.

7.2 Group term life and accident cover

Group term life cover of 3 times annual fixed CTC (maximum Rs. 1 crore) and accidental death and disability cover for every confirmed employee, at no cost to the employee.

7.3 Annual health check-up

A voucher worth Rs. 3,000 per year for every confirmed employee, usable at partner diagnostic centres.

7.4 Employee Assistance Programme

Free and confidential counselling for you and your family, 24x7, run by an external partner.

7.5 Mobile and internet reimbursement

Up to **Rs. 1,000 per month** against a bill in the employee's name, claimed through the portal by the 22nd of the month.

7.6 Employee referral bonus

- Rs. 20,000 for a referred joiner in bands B1 to B4, and Rs. 40,000 for bands B5 and above.
- Paid with salary after the referred person completes 6 months of service. Both employees must be in service on the payout date.
- HR, the hiring manager and the referrer's direct reports in the same hiring process are not eligible.

8. Reimbursements

- Submit claims with bills on the portal within 30 days of the expense.
- Claims submitted by the 22nd are paid in that month's salary; later claims are paid in the next month.
- Business travel and expense rules, including hotel category by band, are in the Finance Travel and Expense Policy and are not part of this document.

9. Salary Advance

Confirmed employees can request a salary advance of up to 1 month of net salary for genuine emergencies, once in 12 months. It is recovered in up to 6 equal monthly instalments, without interest. Approval needs the manager and Head of HR.

10. Salary Confidentiality

Compensation is confidential. Sharing your own salary is your choice, but employees must not seek or share the salary details of colleagues obtained through their work. Salary and payslip questions can be raised with payroll@northbridge.example.

11. Payroll Errors

If your salary is short, late or wrong, raise an urgent HR ticket under "Payroll and Salary" (priority P1 for non-credit of salary). Errors found are corrected in the same month if reported before the 22nd, otherwise in the next payroll.

Revision History

Version	Date	Summary of change
3.2	1 January 2026	Annual review and update. Fictional policy created for demonstration of the HR helpdesk chatbot.